

Exit Effects by Asset Specificity

Ayumu Tanaka

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Load Packages

```
library(tidyverse)
```

Load Data

```
aff_highEU <- rio::import("../03_data_output/affiliate_panel_brexit_high_income_eu_sample.dta")

# Keep years: 2010 to 2020
#aff_eu <- aff_eu %>% filter(year >= 2010 & year <= 2020)
aff_highEU <- aff_highEU %>% filter(year >= 2010 & year <= 2020)
```

Combine the PPE.dta with aff_highEU.dta

```
# Load PPE data
PPE <- rio::import("../02_data_input/PPE.dta")
# Keep the necessary columns
PPE$IndustryName <- NULL
PPE$AllSIC <- NULL
PPE$SICdescription <- NULL

# Combine the two datasets: FASector = OJCIndustryCode
aff_highEU <- aff_highEU %>%
  left_join(PPE, by = c("FASector" = "OJCIndustryCode"))

# Remove if PPE is NA
```

```

aff_highEU <- aff_highEU %>%
  filter(!is.na(aff_highEU$PPE))

# Subsample of RecoveryRateHigh = 0 or 1
RRLow <- subset(aff_highEU, RecoveryRateHigh == 0)
RRHigh <- subset(aff_highEU, RecoveryRateHigh == 1)

```

TWFE Event Study

Exit-OLS with fixest

```

library(fixest)

es1 <- fixest::feols(exitit ~ i(year, GBR, 2014)
  | year + AffiliateCode,
  data = RRHigh,
  vcov = ~ country)

es2 <- fixest::feols(exitit ~ i(year, GBR, 2014)
  | year + AffiliateCode,
  data = RRLow,
  vcov = ~ country)

fixest::etable(es1, es2)

```

##	es1	es2
## Dependent Var.:	exitit	exitit
##		
## GBR x year = 2010	-0.0367 (0.0218)	0.0146 (0.0273)
## GBR x year = 2012	-0.0149 (0.0202)	0.0039 (0.0120)
## GBR x year = 2016	0.0189 (0.0197)	0.0093 (0.0186)
## GBR x year = 2017	0.0192 (0.0199)	0.0118 (0.0241)
## GBR x year = 2018	0.0153 (0.0193)	0.0002 (0.0209)
## GBR x year = 2019	0.0675** (0.0205)	0.0115 (0.0199)
## GBR x year = 2020	0.0761** (0.0240)	0.0040 (0.0204)
## Fixed-Effects:	-----	-----
## year	Yes	Yes
## AffiliateCode	Yes	Yes
##		
## S.E.: Clustered	by: country	by: country
## Observations	4,000	8,448
## R2	0.70662	0.72142
## Within R2	0.00482	0.00010
## ---		
## Signif. codes: 0 '***' 0.001 '**' 0.01 '*' 0.05 '.' 0.1 ' ' 1		

Plot Estimates

```
# labels
es1_n = as.numeric(es1[["nobs"]])
es2_n = as.numeric(es2[["nobs"]])
legend1 <- paste("Low (N = ", es1_n, ")")
legend2 <- paste("High (N = ", es2_n, ")")

# coef
b <- es1[["coefficients"]]
# decimal to 3
b <- round(b, 3)
# coef
c <- es2[["coefficients"]]
# decimal to 3
c <- round(c, 3)

postscript("../04_tex/main/Fig8.eps", horizontal = FALSE,
           width = 8, height = 6)
iplot(list(es1, es2), pt.join = TRUE,
      main = "Effect of the Brexit referendum on exit probability",
      sub = "Affiliate-level balanced panel",
      xlab = "Linear probability model"
    )
legend("topleft", col = 1:2, pch = 9, cex = 1.0, lwd = 1, lty = 1:2,
      legend = c(legend1, legend2),
      title = "Asset Specificity")
legend("bottomright", col = 1:2, pch = 9, cex = 0.7, lwd = 1, lty = 1:2,
      legend = c("Low", "High"),
      title = "Asset Specificity")

# Add value labels
text(2010, b[1]-0.015, b[1], cex = 0.7, col = 1)
text(2012, b[2]-0.015, b[2], cex = 0.7, col = 1)
text(2016, b[3]-0.015, b[3], cex = 0.7, col = 1)
text(2017, b[4]-0.015, b[4], cex = 0.7, col = 1)
text(2018, b[5]-0.015, b[5], cex = 0.7, col = 1)
text(2019, b[6]-0.015, b[6], cex = 0.7, col = 1)
text(2020, b[7]-0.015, b[7], cex = 0.7, col = 1)
text(2021, b[8]-0.015, b[8], cex = 0.7, col = 1)

# Add value labels
text(2010, c[1]-0.015, c[1], cex = 0.7, col = 2)
text(2012, c[2]-0.015, c[2], cex = 0.7, col = 2)
text(2016, c[3]-0.015, c[3], cex = 0.7, col = 2)
text(2017, c[4]-0.015, c[4], cex = 0.7, col = 2)
text(2018, c[5]-0.015, c[5], cex = 0.7, col = 2)
text(2019, c[6]-0.015, c[6], cex = 0.7, col = 2)
text(2020, c[7]-0.015, c[7], cex = 0.7, col = 2)
text(2021, c[8]-0.015, c[8], cex = 0.7, col = 2)

dev.off()

## pdf
## 2
```